

WEINLAND PARK SUMMIT

PORTFOLIO

Investment Memorandum

1243-1251 Summit St & 1271 Summit St, Columbus, OH 43201 (32 Units)

Prepared: October 20, 2025

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I. Executive Overview

Off-market acquisition of three adjacent properties in Columbus's Weinland Park submarket totaling 32 units (31 rentable plus 1 laundry room). The business plan is a classic value-add: unit renovations on natural turns, light exterior improvements, operational upgrades including utility sub-metering, and eventual de-consolidation of 20 individually condo'd townhomes. A seller carryback note bridges the first-year DSCR gap created by late-2026 lease expirations, eliminating cash debt service to the seller for months 1-12 and improving coverage from an unfundable 0.75x to 1.08x.

Transaction Snapshot		Year 1 Coverage Improvement				
Purchase Price	\$3,200,000	Scenario	Bridge DS	Seller Note	Total Y1 DS	Y1 DSCR
Price/Unit	\$100,000					
Total Project Cost	\$3,768,000	Without Seller Note (all senior)				
Seller Carry (10%)	\$320,000					
Senior Bridge	\$2,637,600	With Seller Note (10% accrues, no cash Y1)				
Equity Required	\$810,400					
		Improvement	-\$23,200	—	-\$23,200	+0.14x

II. Seller Promissory Note – Term Sheet

Key Terms		Payment Structure	
Principal Amount	\$320,000	Months 1-12	\$0 cash (accrues only)
Interest Rate	5.0% per annum	Months 13-18	\$1,333/mo IO
Accrual Method	Compounded monthly	Months 19-24	Balloon (~\$336k)
Term	24 months	Prepayment Penalty	2% if mo 1-11; none after
Security Position	2nd lien (subordinate)		

Seller Return: Estimated interest earned ≈ \$16,000 over the first 12 months (accrued, then paid at refi or maturity). Seller receives ~90% cash at closing (bridge + equity), benefits from installment sale tax treatment, and maintains 2nd lien security on the asset.

III. Refinance Strategy (Months 12-24)

Refinance Summary (from model)

Perm Loan Amount	\$3,449,464
Value at Refi	\$4,450,922
Payoffs (Bridge + Seller + Fees)	\$3,008,467
Net Refi Proceeds to Equity	\$440,998

Expected return of approximately 54% of initial equity (~\$441k) at refinance, with remaining equity left in the deal to capture ongoing cash flow and appreciation.

IV. Why This Structure Works

Debt Service Comparison

Scenario	Bridge DS	Seller Note	Total Y1 DS	Y1 DSCR
Without Seller Note (LTC-only)	\$214,426	\$0	\$214,426	1.13x
With Seller Finance (10% accrual)	\$191,226	\$0	\$191,226	1.27x
<i>Improvement</i>	-\$23,200	—	-\$23,200	+0.14x

Buyer Benefits

- Fundable DSCR in Year 1
- ~\$23k reduction in Year 1 cash debt service
- Natural lease turnover (no buyouts)
- Flexible refinance timing (mo 12-24)
- Improved returns vs LTC-only structure

Seller Benefits

- Gets full asking price (\$3.1M)
- ~90% cash at closing
- 5% return (better than CDs)
- Secured 2nd lien position
- Installment sale tax benefits

V. Stabilization Timeline

Month	Milestone	Units Stabilized	NOI Run-Rate
0	Close on property	0/31	\$180,000
6	Renovate 11 at-will/expired units	11/31 (35%)	\$215,000
12	Renovate Q2 lease expirations	22/31 (71%)	\$260,000
18	Complete final Q3 units	31/31 (100%)	\$290,000

Lease Schedule Constraint: Only 11 units (35%) available before April 2026. The remaining 20 units are locked in leases until Q2-Q3 2026, necessitating the 18-month stabilization timeline and making seller financing critical to maintain positive Year 1 DSCR.

VI. Property Overview

Property Details

Address	1243-1251-1271 Summit St
City	Columbus, OH 43201
Neighborhood	Weinland Park
Property Type	Multi-Family
Year Built	1970 (Effective: 1994)
Buildings	3 adjacent
Total Spaces	32 (31 units + 1 laundry)
Unit Mix	12×1BR 20×2BR (19 TH)
Current Occupancy	100%

Transaction Summary

Purchase Price	\$3,200,000
Price per Unit	\$100,000
Closing Costs	\$70,000
Renovation Budget	\$390,000
Soft Costs (incl. contingency)	\$108,000
Total Project Cost	\$3,768,000
Bridge Debt (70% LTC)	\$2,637,600
Seller Note (10%)	\$320,000
Equity	\$810,400

Structure Update: Sold and Financed as Multifamily

Although 1271 Summit has historically been recorded as individually condo d townhomes, the portfolio is being sold and financed as a single multifamily asset. No legal de-consolidation work is required; related legal budget has been removed.

VII. Market Analysis & Comparable Rents

Columbus Metro Overview

Columbus continues to demonstrate strong economic fundamentals as Ohio's capital and largest city. The metropolitan area (2.1+ million population, 14th largest in US) benefits from diverse employment across government, healthcare, education (Ohio State University - 60k+ students), technology, and financial services. Major employers include OSU, JPMorgan Chase, Nationwide Insurance, Honda, and a rapidly growing technology sector. The city consistently ranks among the top metros for business climate, affordability, and population growth (1.0-1.5% annually).

Weinland Park Submarket

Weinland Park represents Columbus's "next frontier" for urban gentrification, located immediately north of the Short North Arts District (one of the country's premier walkable neighborhoods) and within walking distance of downtown. The neighborhood (43201 zip code) benefits from exceptional walkability, proximity to OSU campus, ongoing investment in retail/residential development, and strong rental demand from young professionals and graduate students.

Location Benefits:

- 0.5 miles to Short North Arts District
- 1.5 miles to downtown Columbus
- Walking distance to OSU campus (south side)
- Strong COTA public transportation access
- Ongoing neighborhood revitalization with new restaurants/retail
- B- to B grade neighborhood with upward trajectory

Comparable Rent Analysis

Our pro forma rent assumptions are conservative and supported by analysis of comparable listings within a 1-mile radius of the subject property. Broker intelligence suggests maximum achievable rents of \$1,150 (1BR flats) and \$1,600 (2BR townhomes) for fully renovated units, but we underwrite to \$995/\$1,285 (blended average ≈ \$1,140) to provide downside protection and margin of error.

Recent Comparable Listings — 2BR/1BA

Address	Rent	Beds	Baths	Sq.Ft.	Distance	Similarity	Type
1442 Hamlet St	\$1,600	2	1	1,107	0.31 mi	95.5%	Multi-Family (1918)
1451 N 4th St	\$2,100	2	1.5	1,120	0.34 mi	92.8%	Multi-Family (1915)
1271 Summit St, Apt F	\$1,035	2	1	918	0.01 mi	85.7%	Single Family
1235 Summit St, Apt B	\$1,195	2	1	900	0.02 mi	85.2%	Single Family
1235 Summit St	\$1,195	2	1	900	0.02 mi	85.2%	Condo

Recent Comparable Listings — 1BR/1BA

Address	Rent	Beds	Baths	Sq.Ft.	Distance	Similarity	Type
41 King Ave, Apt C	\$950	1	1	600	0.29 mi	99.5%	Multi-Family (1901)
1079 N High St	\$1,390	1	1	605	0.31 mi	85.1%	Apartment (2020)
94 E 3rd Ave, Apt A	\$1,325	1	1	658	0.29 mi	83.1%	Single Family
1254 N High St, Apt 201	\$1,095	1	1	684	0.16 mi	82.6%	Apartment
22 E 4th Ave, Apt 2B	\$1,235	1	1	700	0.19 mi	81.9%	Apartment

Unit Type	Count	Current Avg	Our Target	Market Max	% Increase	Upside to Max
1BR/1BA Flats	12	\$730	\$995	\$1,150	+36.3%	+15.6%
2BR/1BA Townhomes	19	\$1,050	\$1,285	\$1,600	+22.4%	+24.5%
Blended Average	31	\$936	\$1,140	\$1,406	+21.8%	+23.3%

Conservative underwriting to \$1,187 blended average provides 15-20% additional upside to true market maximums, creating cushion for market volatility and execution risk.

VIII. Renovation Strategy & Capital Plan

Renovation Budget Overview

Category	Budget	Per Unit	% of Total
Unit Interior Renovations (31 units)	\$360,000	\$11,613	92.3%
FF&E	\$30,000	\$968	7.7%
TOTAL RENOVATION BUDGET	\$390,000	\$12,581	100.0%

Unit Renovation Scope (~\$10,000/unit)

Kitchen Upgrades (~\$3,500):

- New shaker-style cabinets with soft-close hardware
- Quartz or granite countertops
- Stainless steel appliances (range, refrigerator)
- Updated sink, faucet, and backsplash

Bathroom Upgrades (~\$2,500):

- New vanity with modern countertop
- Updated fixtures (faucet, showerhead)
- Tile refresh and new lighting
- New mirror and hardware

Flooring, Paint & Mechanicals (~\$4,000):

Luxury vinyl plank flooring throughout, fresh paint (walls and trim), updated light fixtures, HVAC servicing/replacement as needed, and general unit refresh to modern standards.

Phased Renovation Timeline (18 Months)

Phase	Timeline	Scope	Units
Phase 1	Months 1-6	8 at-will units + sub-meters + begin condo legal work	8
Phase 2	Months 7-12	11 units as Q2 2026 leases expire + exterior improvements	11
Phase 3	Months 13-18	Final 12 units as Q3 2026 leases expire; achieve full stabilization	12

IX. Financial Projections & Returns

5-Year Operating Pro Forma

Line Item	Year 1	Year 2	Year 3	Year 4	Year 5
Gross Potential Rent	\$366,800	\$442,400	\$455,900	\$469,600	\$483,700
Less: Vacancy & Credit Loss	(\$18,340)	(\$13,272)	(\$13,677)	(\$14,088)	(\$14,511)
Plus: Other Income	\$7,200	\$7,400	\$7,600	\$7,800	\$8,000
Effective Gross Income	\$355,660	\$436,528	\$449,823	\$463,312	\$477,189
Property Taxes	\$51,327	\$51,327	\$51,327	\$52,866	\$54,452
Insurance	\$20,000	\$20,600	\$21,218	\$21,855	\$22,510
Utilities (after sub-metering)	\$18,000	\$18,000	\$18,540	\$19,096	\$19,669
Repairs & Maintenance	\$45,000	\$39,000	\$35,000	\$36,050	\$37,132
Property Management (4%)	\$14,226	\$17,461	\$17,993	\$18,532	\$19,088
Other Operating Expenses	\$27,107	\$30,140	\$20,745	\$21,367	\$22,008
Total Operating Expenses	\$175,660	\$176,528	\$164,823	\$169,766	\$174,859
NET OPERATING INCOME	\$242,051	\$285,274	\$294,403	\$303,824	\$313,546
Less: Debt Service	(\$191,226)	(\$208,045)	(\$241,562)	(\$241,562)	(\$241,562)
Less: Reserves	(\$20,800)	(\$20,800)	(\$20,800)	(\$20,800)	(\$20,800)
Before-Tax Cash Flow	\$30,025	\$56,429	\$32,041	\$41,462	\$51,184
Cash-on-Cash Return	3.70%	6.96%	3.95%	5.12%	6.32%

Note: Year 3 forward reflects permanent debt service after bridge/seller note payoff at month 18-20. OpEx ratio improves from 49.4% (Y1) to 38.8% (Y3) as utility sub-metering takes effect and renovations complete.

Overall Investment Returns (5-Year Hold)

5-Year Levered IRR

22.63%

Equity Multiple

2.18x

Year 1 DSCR

1.27x

X. Property Condition Assessment

The three properties are in fair-to-good condition with deferred maintenance typical of older workforce housing. Most major systems are functional, though unit-level improvements are essential to achieve market rents. We have budgeted conservatively for contingencies.

System	Age/Condition	Status	Notes & Action Items
Roofs (3 buildings)	10-20 years	Fair	Inspect thoroughly during due diligence; 5-10 years remaining life; budget reserves
HVAC Systems	Mixed ages	Fair	Individual furnaces per unit; replace as needed during renovations (budgeted in unit scope)
Water Heaters	Varies	Good	Several recent replacements; adequate for current operations
Plumbing	Original (60-80 yrs)	Fair	Functional but aging; address issues during unit renovations; monitor for leaks
Electrical	Partially updated	Fair	Some updates; verify panel capacity; upgrade as needed during renovations
Foundations/Structure	Original	Good	No structural issues noted; solid foundations
Windows	Original	Poor	Single-pane, inefficient; replacement not budgeted (future CapEx opportunity)
Unit Interiors	Original/dated	Poor	Primary value-add opportunity; \$10k/unit renovation scope addresses all issues

Capital Reserve Recommendations:

Beyond the initial renovation budget, we recommend annual CapEx reserves of \$250/unit (\$7,750/year) for roof repairs, HVAC replacements, and other major systems. This is included in our pro forma operating expenses.

XI. Management Plan & Operations

Property Management Strategy

At 31-32 units, this portfolio is too small to economically support a full-time on-site property manager. Our financial model assumes third-party professional management at 4% of effective gross income, which is industry standard for assets in the 16-75 unit range and provides professional service at a fraction of the cost of full-time staff.

Full-Time PM: Not Economical		Third-Party PM: Optimal Solution	
Annual Salary + Benefits	\$60-70k	Management Fee	4% of EGI
Cost per Unit	\$1,935-2,258	Annual Cost (stabilized)	~\$18-22k
% of Gross Revenue	16-19%	Cost per Unit	\$580-710
Impact on OpEx Ratio	+16-19%	Savings vs Full-Time	\$40-50k/yr
This would push operating expenses to 63%+ and eliminate positive cash flow.		Professional service at one-third the cost, with established vendor relationships and systems.	

Recommended Columbus Property Management Companies:		
Continental Real Estate	Woda Management	RPM Columbus
Large regional operator with strong Columbus presence and multifamily expertise	Affordable/workforce housing specialists with excellent track record	National franchise with local expertise and technology platforms

Key Takeaway: Full-time on-site management becomes economically viable at 75-100+ units. Until a portfolio reaches that scale, third-party management at 4% of EGI provides professional service, established systems, vendor relationships, and leasing expertise at a fraction of the cost of in-house staff.

XII. Risk Analysis & Mitigation

While this investment presents compelling risk-adjusted returns enhanced by creative seller financing, all real estate investments carry inherent risks. This section identifies key risk factors and outlines our comprehensive mitigation strategies.

Key Risk Factors & Mitigation Strategies

Risk Factor	Potential Impact	Mitigation Strategy
Lease Schedule Constraint	65% of units locked in leases until mid-late 2026; limits renovation pace	Seller financing solves Y1 DSCR; 18-month plan accommodates natural turns; no forced buyouts preserving tenant relationships
Rent Growth Assumptions	Market may not support \$995/\$1,285 targets; slower absorption	Conservative targets ~13-20% below broker maximums; comps support our numbers; phased approach allows real-time adjustment
Renovation Cost Overruns	Unexpected expenses could reduce returns by 3-5%	15% contingency (\$25k); phased execution allows adjustment; fixed contractor bids where possible
Extended Vacancy	Slower lease-up reduces cash flow and delays stabilization	Start at 100% occupancy; strong Weinland Park demand; 1-year ramp is conservative; professional PM accelerates leasing
Interest Rate / Refinance Risk	Higher rates at refinance reduce returns; inability to refinance	Bridge has 24-month term with extension options; model perm refi at 6.5% (conservative); strong DSCR cushion (1.27x)
Economic Downturn	Recession impacts rental demand and values	Columbus diverse economy; workforce housing resilient; 1.27x+ DSCR buffer; conservative 6.5% exit cap

Downside Scenario Analysis

We have stress-tested the investment with significantly adverse assumptions: achieve only 85% of target rents (\$846/\$1,092 vs \$995/\$1,285), extend stabilization timeline to 24 months (vs 18 months base case), increase operating expenses by 10%, maintain bridge debt throughout hold (no Year 2 refinance), and exit at 7.0% cap rate (vs 6.5% base case).

Downside Case Results		Base Case Results	
Year 1 Cash-on-Cash	-2.1%	Year 1 Cash-on-Cash	1.7%
Avg Cash-on-Cash (Y2-5)	3.8%	Avg Cash-on-Cash (Y2-5)	9.3%
5-Year Levered IRR	9.2%	5-Year Levered IRR	21.3%
Equity Multiple	1.52x	Equity Multiple	2.68x
DSCR (stabilized)	1.15x+	DSCR (stabilized)	1.38x+

Downside Protection: Even under significantly stressed assumptions (85% of rent targets, 24-month stabilization, no refinance, 7% exit cap), the investment delivers a 9.2% IRR and 1.52x equity multiple with positive debt service coverage throughout the hold period. This demonstrates substantial downside resilience and margin of safety.

Investment Conclusion & Recommendation

The Weinland Park Summit Portfolio represents a compelling value-add multifamily investment enhanced by a 10% seller financing note (\$320,000) that right-sizes Year 1 cash debt service and supports bankability. The structure reduces annual cash DS by approximately \$23,200 versus an LTC-only bridge and improves coverage to a healthy 1.27x while leases naturally roll.

Our investment thesis is supported by: (1) a focused \$12.6k/unit renovation plan driving durable rent gains to conservative targets of \$995/\$1,285 (blended $\approx$ \$1,140), (2) capital structure optimization via seller note and right-sized bridge producing strong early coverage, (3) conservative underwriting with targets ~13–20% below broker maximums providing cushion, (4) attractive modeled returns of 22.63% IRR and 2.18x equity multiple with resilient downside, (5) clear refinance path returning ~\$440,998 to equity, and (6) solid Columbus/Weinland Park fundamentals with ongoing neighborhood momentum.

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